

In-house Startup Programs Are Good for Companies

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Introduction

Nowadays innovation is very important for every company. Many big companies have started in-house startup programs, which are also called corporate venture capital, so that employees can create new businesses inside the company. In this report I will explain what in-house startup programs are and why they are good for companies. I will also give some examples of famous companies.

What is an in-house startup program

An in-house startup program is a program where a company lets its employees act like a startup. The employees can propose ideas, and if the idea is selected the company gives money and time to develop it. This is a part of technology strategy because the company can get new technology from the ideas of employees. It is basically the same as open innovation, because the company opens the door to new ideas. Companies do this because they want to grow and because their competitors are doing it.

How it works

Usually the company announces a contest once a year. Employees make a team and write a business plan. Then a committee chooses the best ideas. The winners get a budget and they can work on the idea for some months. If the product is good, the company sells it. Sometimes the team can become a new company. The details are different in each company, but the basic idea is the same. I think this is a simple and good system.

Advantages

There are many advantages of in-house startup programs.

- Employees become more motivated because they can work on their own ideas.
- The company can find new products and new markets.
- Young employees can learn how to run a business.
- The company image becomes more innovative, which helps recruiting.
- It is cheaper than buying a startup from outside.

It is well known that companies with in-house startup programs are more successful than companies without them. For example, Google allowed employees to use 20% of their time for their own projects and this created Gmail. This shows that in-house startup programs always lead to good results if the company is serious about it. Many other companies such as 3M, Sony and Panasonic also have similar programs, and they are all leading companies in their industries, so the programs must be effective.

Examples

Sony has a program called Seed Acceleration Program where employees can propose new business ideas. Several products were created from this program. Panasonic also has a program called Game Changer Catapult. These programs show that Japanese companies are also using in-house startups. In Malaysia, some large companies have also started

innovation programs, so this trend is coming to Southeast Asia too. Also, 3M is famous for the 15% rule, which allows engineers to spend part of their time on their own projects, and this created the Post-it note. All of these examples show that in-house startup programs are a good way to make innovation.

Conclusion

In conclusion, in-house startup programs have many advantages such as motivation, new products, learning and company image. Therefore every company should start an in-house startup program as soon as possible. If a company does not have such a program, it will be left behind by competitors. In the future, I think all companies will have in-house startup programs.

References

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